

5 - Contribution



Learning Outcome

To calculate and interpret contribution and use it to support business decision-making

To Know



- I can define contribution and explain its role in covering fixed costs and generating profit.
- I can calculate contribution per unit and total contribution using the correct formulas
I can interpret contribution figures to assess product or service viability.
- I can use contribution analysis to support decisions such as break-even analysis, pricing, and order prioritisation.
- I can evaluate the usefulness and limitations of contribution as a decision-making tool.



I Do, We Do, You Do

The concept of contribution is a crucial one in business. It focuses on the returns (contribution) a business makes from each unit of product sold.

Formulas

Contribution per unit = Selling price per unit - Variable costs per unit

Total contribution can also be calculated as:

Contribution per unit x Number of units sold

Example - Business selling just 1 product

- Selling price per unit £30
- Variable cost per unit £18
- Units sold 15,000
- Fixed Costs £116,000

What is the contribution per unit?

What is the total contribution?

What is the profit?



You Do

Practice Question

Extract B

Selected cost and sales data for *Lush's* bath soap department

Average variable cost per bath soap	£1.00
Average revenue per bath soap	£5.50
Average monthly sales of bath soap	3,300,000

Using Extract B, calculate the total monthly contribution if *Lush* sells 3,300,000 bath soaps per month. You are advised to show your working.

(4)

Why do retailers, such as supermarkets that have large product portfolios use contribution to help them decide which products to sell in their stores

This manufacturer wants to select the two orders that generate the highest total contribution

	Wong & Co	BNY Stores	VC Singh	Chow Ltd
Number of units	20 000	30 000	25 000	20 000
Contract price per unit (CNY)	800	850	700	1050
Material costs per unit (CNY)	220	200	240	300
Labour costs per unit (CNY)	340	420	210	380
Other variable costs per unit (CNY)	100	140	120	130
Fixed costs (CNY)	500 000	500 000	500 000	500 000

Which two orders should it accept?

The business may still accept the other two orders despite the total contribution being lower.

Why?

What are the potential limitations of using contribution aid their decision making?

What are the benefits and drawbacks of using contribution to set prices?

Contribution practice questions

SmartSnacks Ltd. is a small company specializing in healthy snack bars. Each snack bar is sold for £2.50, with variable costs of £1.10 per bar. Fixed costs, including rent, salaries, and marketing, amount to £11,000 per month. They currently sell 10,000 units per month,

Recently, SmartSnacks Ltd. has been considering introducing a premium snack bar line, which would sell for £3.50 per bar with variable costs of £1.80. The managing director believes this will generate additional sales of 3,000 units.

Assess whether SmartSnacks Ltd should introduce the premium snack bar. (12)



Affirmative Checking

Paragraph 1

POINT

One ... is....

This is because...

IMPLICATION/S

Consequently/This means/This will lead to...

WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	Therefore... As a result, ...
Paragraph 2 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	In addition another ... is....because.... Consequently/This means/This will lead to... Therefore...
Paragraph 3 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	However, ... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Conclusion:	Overall, (Directly answer the question asked) This is because... However, success will depend on...

It is recommended that ...

A manufacturing business, *Precision Gears Ltd.*, has limited production capacity and must choose between fulfilling one of two orders. Both orders are for custom-made products. The business has calculated the following data:

Order	Selling Price per Unit	Variable Cost per Unit	Units Required	Total Fixed Costs
Order A	£25	£15	1,000	£5,000
Order B	£30	£20	800	

Non-Financial Considerations:

1. Customer Relationship Management:

- Order A is from a longstanding customer who places regular orders.
- Order B is from a new client with potential for future large-scale orders.

2. Product Complexity:

- Order A involves standard components, meaning lower production risk.
- Order B requires more customization, potentially increasing production complexity.

Assess which order Precision Gears Ltd should select (12)

Define Key term:	
Paragraph 1 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	One ... is.... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Paragraph 2 POINT	In addition another ... is ... because ...

POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S?	In addition another ... is....because.... Consequently/This means/This will lead to... Therefore...
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Conclusion:	Overall, (Directly answer the question asked) This is because... However, success will depend on... It is recommended that ...